Audit Evidence Quality and Assertion-Directed Procedures

CPA · cpa-auditing · BoardPrep lesson v2

Official examination scope

The PRC Board of Accountancy page and 2026 program identify current LECPA subjects; PRC Board Resolution No. 3 s. 2026 adopts Philippine auditing and assurance standards. This lesson teaches selected ISA 500 concepts. Consult current PRC and adopted standards; no frequency claim is made.

Learning objectives

- Distinguish evidence appropriateness (quality) from sufficiency (quantity) in relation to risk
- and purpose.
- Choose a procedure direction that can address the stated financial-statement assertion.
- Investigate contradictory evidence and document the procedures, judgments, and unresolved
- issues.

1. Separate evidence quality and amount

Appropriateness concerns the quality of evidence, including its relevance to the assertion and the reliability of its source and form. Sufficiency concerns the amount. More low-relevance or unreliable evidence may not resolve an evidential gap. Assess both dimensions in relation to the risk, the procedure’s purpose, and the conclusion being supported, using the applicable current Philippine auditing standards and firm methodology.

2. Let the assertion determine direction

Let the assertion determine where the procedure starts. To test occurrence of recorded revenue, select recorded entries and trace them to shipping or customer-acceptance support. To test completeness of purchases, start from source events such as receiving reports and trace forward to the journal and liabilities. The direction affects which unsupported records or omissions the procedure can reveal; also check the population, period, and documents involved.

3. Investigate contradictory evidence

When an external confirmation conflicts with a management schedule, establish what differs and which assertion the evidence addresses. Assess the source and timing, obtain corroborating or alternative evidence, and determine whether risk assessments or further procedures should change. Do not average conflicting values, defer automatically to management, or treat one source as dispositive without investigation.

4. Keep skepticism and documentation active

Maintain professional skepticism and document the procedures performed, sources and results, significant judgments, contradictory evidence, and how inconsistencies were resolved. Inquiry alone may not support a conclusion when corroboration is needed. The objective is sufficient appropriate evidence for the conclusion, not a predetermined document count. Apply the current adopted Philippine standards; this lesson does not reproduce standards text or replace current professional requirements.

Choose a completeness procedure

Question: Start with receiving reports issued before year-end and trace them into the purchases journal. Which assertion is targeted?
1. Receiving reports may include goods received but not recorded.
2. Tracing forward asks whether those source events entered the accounting records.
3. An omitted purchase or liability can therefore be identified.

Answer: The procedure primarily tests completeness of purchases and related liabilities.
Check: Starting with recorded purchases and tracing backward would more directly address occurrence.

Trace receiving reports into year-end purchases

Question: A reviewer selects receiving reports issued just before year-end and traces them into the purchases journal and payable records. Which assertion is the procedure primarily designed to test?
1. Begin with evidence that goods were received, independent of whether the accounting entry exists.
2. Trace each receipt forward into the journal and related liability records.
3. Investigate any receipt with no corresponding entry and evaluate the period and amount using additional evidence.
Answer: The procedure primarily addresses completeness of purchases and related liabilities.
Check: Starting from recorded entries and tracing backward would answer a different question, such as occurrence.

Common misconceptions

- Appropriateness and sufficiency both mean the quantity of evidence.
- Tracing forward and vouching backward test the same direction and assertion.
- External evidence automatically resolves a conflict without assessing reliability.
- A contradiction can be ignored when one source agrees with management.

Practice patterns

- For assertion questions, identify the population and the direction of tracing before naming
- the objective.
- For evidence questions, assess relevance and reliability separately from amount.
- For contradictions, investigate, corroborate, reassess the procedure, and document the
- resolution.

Official scope references

Official scope: PRC Board of Accountancy — Current and Future LECPA TOS Resources — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-20%20Revised%20Annex%20A%20BOA.pdf
Official scope: PRC Board Program — May 2026 CPALE — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://prc.gov.ph/sites/default/files/Board%20Program%20May%202026%20CPALE_revised.pdf
Official scope: PRC Board Resolution No. 3 s. 2026 — Philippine Auditing Standards Adoption — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-03%20published%20Adopting%20The%20Auditing%20And%20Assurance%20Standards%20Council%20Pronouncements.pdf

Instructional references

Instructional reference: IAASB 2026 Handbook, Volume 1 — ISA 500: Audit Evidence — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/2026-handbook-international-quality-management-auditing-review-sustainability-and-other-assurance
Instructional reference: ISA 315 Revised 2019 — Identifying and Assessing Risks of Material Misstatement — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/isa-315-revised-2019-identifying-and-assessing-risks-material-misstatement

Instructional reference: IAASB 2026 Handbook, Volume 1 — ISA 230: Audit Documentation — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/2026-handbook-international-quality-management-auditing-review-sustainability-and-other-assurance

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No claim about question frequency or examination weighting is made.